Extra exercises of Lecture 1

EX 1
Which is the main function of the financial sector?
a) to channel funds from those that have a surplus of funds
to those that have a shortage of funds
b) to let lenders earn a correct yield on their financial investment
c) to let some players win their bets, even if all others lose
d) to help savers to gain from lending to spenders

EX 2
What is the distinctive feature of direct finance?
a) there must be a direct and physical contact between market players
b) financial intermediaries are not allowed by law to enter the market
c) one party (ex.: borrower) obtains funds directly from the other party (ex.: lender)
d) none of the answers above

EX 3
Which of the following is true about primary and secondary markets?
a) in secondary markets the holders of securities cannot use funds
for productive investment (e.g.: buying a machinery)
b) in primary markets the users of funds offer newly issued securities for sale
c) only in secondary markets holders of securities can sell them to buyers
d) in primary markets the users of funds cannot sell securities

EX 4
Which of the following reasons motivate the presence of financial intermediation?
I. Transaction costs
II. Risk sharing
III. Asymmetric information
IV. Economies of scope

a) only I and IV
b) only II and III
c) only I, III and IV
d) I, II, III and IV